

WRITTEN QUESTIONS (TOTAL: 100 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (15 marks – approximately 27 minutes)

1. You are required to complete the following tasks in this question:

- (a) In relation to contract law in Hong Kong, analyse whether the price paid by Winnie for the Sculpture was valid consideration.
(5 marks)
- (b) In relation to contract law in Hong Kong, analyse whether Tommy was bound to keep his offer open to Millie as promised.
(5 marks)
- (c) In relation to contract law in Hong Kong, analyse whether Elegant Goods was bound to give Tommy the free gift as promised by Lily.
(5 marks)

Case background:

Tommy is an artist and has a collection of valuable paintings and sculptures. It is Tommy's practice to hire an expert valuer, Mr Smart, to assess the market value of each item of his collection. On the basis of Mr Smart's evaluation, Tommy sets the price for and attaches a price tag to each item accordingly. Tommy sometimes holds exhibitions of his collection and sells some of the items of his collection to his friends.

During one exhibition held last week, Tommy agreed to sell a sculpture ("the Sculpture") to one of his good friends, Winnie, at HK\$60,000, which was 40% lower than the price indicated on the price tag. Winnie immediately issued a cheque to pay for the Sculpture. When Tommy told his wife Betty about the sale of the Sculpture, Betty was upset about the low price at which Tommy had sold the Sculpture to Winnie and thought Tommy should ask Winnie to pay him back the difference of HK\$40,000.

Three days ago, Millie, Tommy's cousin, expressed interest in a painting from Tommy's collection ("the Painting") during her visit to Tommy's apartment. Tommy offered to sell the Painting to Millie for HK\$100,000. Millie said she needed some time to consider whether to accept the offer and asked Tommy to keep his offer open for her until 5:00 p.m. the following day. Tommy agreed. At about 10:00 a.m. the following day, before Tommy received any reply from Millie, he changed his mind. Tommy then sent an email to Millie to tell her that he decided to withdraw his offer. Millie was very disappointed. Millie is now wondering whether Tommy was bound to keep his offer open to her as promised.

Two days ago, Tommy went to a shop called "Elegant Goods" to buy a leather briefcase. After Tommy had paid for the briefcase, the saleslady, Lily, said to him that he would get a crocodile leather wallet as a free gift but he would have to pick it up the following day. When Tommy went to Elegant Goods to pick up the free gift, Lily said she had made a mistake and therefore Tommy would not get the free gift. Tommy was very angry.

* * * END OF SCENARIO * * *

Answer Area:

- (a) In relation to contract law in Hong Kong, analyse whether the price paid by Winnie for the Sculpture was valid consideration.
(5 marks)
- (b) In relation to contract law in Hong Kong, analyse whether Tommy was bound to keep his offer open to Millie as promised.
(5 marks)
- (c) In relation to contract law in Hong Kong, analyse whether Elegant Goods was bound to give Tommy the free gift as promised by Lily.
(5 marks)

Question 2 (15 marks – approximately 27 minutes)

2. You are required to complete the following tasks in this question:

- (a) In relation to employment law in Hong Kong, analyse whether Billy can be summarily dismissed by Great Taste Company Limited ("GTL") for forging invoices and misappropriating GTL's funds.
(5 marks)
- (b) In relation to anti-corruption laws in Hong Kong, analyse whether Billy may be liable for any criminal offence for forging invoices and misappropriating GTL's funds.
(5 marks)
- (c) In relation to employment law in Hong Kong, explain under what circumstances an employee is entitled to long service payment, and analyse whether Fanny will be entitled to long service payment if she resigns from her job to go into retirement.
(5 marks)

Case background:

About three years ago, Billy was employed as Purchasing Manager by Great Taste Company Limited ("GTL"), a Hong Kong incorporated private limited company which operated a restaurant, on the recommendation of his cousin, Fanny, who was working as the General Manager of GTL. As Billy worked hard and had worked in the catering industry before, he was trusted by his boss, Mr Kind.

A few months ago, Billy suffered heavy losses in his investments in the stock market. As Billy needed money to repay a substantial bank loan, he began to forge invoices for some food items supposedly purchased on behalf of GTL. When GTL paid for items which were not ordered or delivered, Billy then deposited these funds into his own bank account.

To his great surprise, Mr Kind found out about Billy's dishonest acts one day when Mr Kind was checking the inventory of food items in preparation for a large banquet. On learning about Billy's dishonest acts, Fanny felt bad about having recommended Billy to GTL. Recently, Fanny has also been diagnosed as suffering from dementia. Fanny has worked for GTL for more than seven years and is thinking of going into retirement.

* * * END OF SCENARIO * * *

Answer Area:

- (a) In relation to employment law in Hong Kong, analyse whether Billy can be summarily dismissed by Great Taste Company Limited ("GTL") for forging invoices and misappropriating GTL's funds.
(5 marks)
- (b) In relation to anti-corruption laws in Hong Kong, analyse whether Billy may be liable for any criminal offence for forging invoices and misappropriating GTL's funds.
(5 marks)
- (c) In relation to employment law in Hong Kong, explain under what circumstances an employee is entitled to long service payment, and analyse whether Fanny will be entitled to long service payment if she resigns from her job to go into retirement.
(5 marks)

Question 3 (15 marks – approximately 27 minutes)

3. You are required to complete the following tasks in this question:

- (a) In relation to agency law, explain the various ways of creation of agency. (4 marks)
- (b) In relation to agency law, analyse whether Good Driving Company Limited is liable to pay for the antique racing car. (6 marks)
- (c) In relation to the law of the sale of goods, analyse whether April must surrender the five-seater sedan to its true owner. (5 marks)

Case background:

About two years ago, Robert set up a private limited company, Good Driving Company Limited ("GDL") to run a car dealership business. Robert has been running his business on his own since the incorporation of GDL by purchasing new and used cars himself and reselling them at a profit. A few months ago, Robert sold a used five-seater sedan to a regular customer called April and made good profits out of the transaction. At the same time, Robert's daughter, Michelle, graduated from university. Being a car lover since childhood, Michelle told Robert that she wanted to take part in Robert's business. Robert wanted to start training Michelle by showing her how to purchase used as well as new cars. Robert formally appointed Michelle as a trainee and showed her some vehicles he had purchased from Mr Richman, a private seller of used cars of good quality. Robert specifically told Michelle not to purchase any cars from Mr Richman without Robert's express permission.

One day, while Michelle was paying a visit to Mr Richman's private car show at Mr Richman's warehouse, Michelle saw an antique racing car which she thought could be sold at a very good price. Michelle was so excited that she placed an order for the antique racing car on behalf of GDL without asking Robert for permission.

Robert thought it was smart of Michelle to buy the antique racing car and delivered it to a wealthy client Mrs Noble in an attempt to resell it to her. Mrs Noble returned it to GDL immediately because her husband's business had recently sustained heavy losses and she could not afford to pay for it. Other customers were not interested. Two days ago, Robert received from Mr Richman an invoice to demand payment for the antique racing car.

Yesterday, Robert received a call from April who told him that the five-seater sedan she had bought from him earlier was a stolen car and the police have asked her to surrender it to the true owner. April wondered whether she had to surrender the five-seater sedan to its true owner.

* * * END OF SCENARIO * * *

Answer Area:

- (a) In relation to agency law, explain the various ways of creation of agency. (4 marks)
- (b) In relation to agency law, analyse whether Good Driving Company Limited is liable to pay for the antique racing car. (6 marks)
- (c) In relation to the law of the sale of goods, analyse whether April must surrender the five-seater sedan to its true owner. (5 marks)

Question 4 (25 marks – approximately 45 minutes)

4. You are required to complete the following tasks in this question:

- (a) In relation to the tort of negligence, analyse whether Mrs Gold is entitled to hold Truthful CPA & Co liable for negligent misstatement in the business valuation report. (10 marks)
- (b) In relation to Hong Kong company law, explain the different kinds of charges and how the different kinds of charges can be validly created. (15 marks)

Case background:

Michael and Albert are the sole shareholders and sole directors of High Fly Company Limited ("HFL"), a private limited company incorporated in Hong Kong which specialises in providing sophisticated artificial intelligence solutions to various business sectors. Not long after the incorporation of HFL, Michael and Albert wished to expand their business. Therefore, Michael and Albert commissioned Truthful CPA & Co ("TCC") to compile a business valuation report (the "Report") for the purpose of persuading their good friend, Thomas, a wealthy businessman, to invest in HFL. However, Michael and Albert only told TCC that they wanted to know the value of their business without telling TCC their intention of inviting any potential investor to invest in HFL.

The team assigned by TCC negligently overvalued the assets as well as the profitability of the business of HFL. When Thomas received the Report, he did not read it because he was planning to leave Hong Kong for good to join his parents living overseas. Thomas passed the Report to Mrs Gold, one of his business partners who had expressed interest in investing in companies specialising in artificial intelligence technology.

Relying on the Report compiled by TCC, Mrs Gold bought a substantial number of shares of HFL. A few months later, she noticed that the business of HFL was not as profitable as stated in the Report and even began to sustain losses. Subsequently, she found that most of the assets of HFL were overvalued. She was very upset.

Michael and Albert began to worry about their business too. They thought they needed to borrow money from a bank to revamp their business. They have recently learned from a good friend that money can be borrowed by way of creation of charges. They now wish to seek professional advice on debt financing.

* * * END OF SCENARIO * * *

Answer Area:

- (a) In relation to the tort of negligence, analyse whether Mrs Gold is entitled to hold Truthful CPA & Co liable for negligent misstatement in the business valuation report. (10 marks)
- (b) In relation to Hong Kong company law, explain the different kinds of charges and how the different kinds of charges can be validly created. (15 marks)

Question 5 (20 marks – approximately 36 minutes)

5. You are required to complete the following tasks in this question:

- (a) In relation to company and winding-up laws of Hong Kong, explain to Venessa what unfairly prejudicial conduct means, and analyse whether she is entitled to petition to the court for unfair prejudice remedies.
(10 marks)
- (b) In relation to company and winding-up laws of Hong Kong, explain to Venessa the grounds for winding up a company.
(3 marks)
- (c) In relation to company and winding-up laws of Hong Kong, analyse whether Venessa is entitled to petition to the court for the winding-up of Grand Wine Limited if she thinks she can no longer work with Benedict.
(7 marks)

Case background:

A few years ago, Benedict set up a private limited company, Grand Wine Limited ("GWL") to run the business of dealing in wines as the sole director and sole shareholder of GWL. Soon after the incorporation of GWL, Benedict hired Venessa to be the Sales and Marketing Manager of GWL. Benedict was soon impressed by the hard work and good performance of Venessa. In order to incentivise Venessa to boost the business of GWL, Benedict decided to transfer 25% of the shares of GWL to Venessa and appoint her as an additional director of GWL. There were also discussions about increasing Venessa's shareholding to 50% and letting her take over the operation of GWL if she could increase the turnover of the business by 30% in one year. Benedict then got less involved in the business of GWL and let Venessa take a more active part in the daily decision making of GWL.

Due to the weak economy, Venessa was unable to achieve the turnover target set by Benedict after one year had passed. Venessa was depressed and her depression substantially affected her performance and the business of GWL. Benedict was worried and began to play a more active part in the operation of the business of GWL. Nevertheless, Benedict allowed Venessa to remain as a director and provided guidance to her. Venessa was upset. Venessa promised to do her best to boost the business of GWL and asked Benedict to increase her shareholding to 50%. Benedict refused to further increase Venessa's shareholding.

Venessa thinks that Benedict has treated her unfairly and has harmed her interest. Venessa has recently been told by her brother who is studying law at university that there is protection for the rights of a minority shareholder like her.

* * * END OF SCENARIO * * *

Answer Area:

- (a) In relation to company and winding-up laws of Hong Kong, explain to Venessa what unfairly prejudicial conduct means, and analyse whether she is entitled to petition to the court for unfair prejudice remedies.
(10 marks)
- (b) In relation to company and winding-up laws of Hong Kong, explain to Venessa the grounds for winding up a company.
(3 marks)
- (c) In relation to company and winding-up laws of Hong Kong, analyse whether Venessa is entitled to petition to the court for the winding-up of Grand Wine Limited if she thinks she can no longer work with Benedict.
(7 marks)

Question 6 (10 marks – approximately 18 minutes)

6. You are required to complete the following tasks in this question:

- (a) In relation to the laws relating to securities and futures in Hong Kong, analyse whether Nicholas and Nicole have the obligation to disclose their interest in the shares of Victory Equipment Company Limited ("VEL"), and whether Nicole's disclosure obligation of her interest in the shares of VEL, if any, should include her husband's interest in the shares of VEL.

(6 marks)

- (b) In relation to the laws relating to securities and futures in Hong Kong, explain under what circumstances must a shareholder make such a disclosure.

(4 marks)

Case background:

Nicholas is the Chief Executive Officer of Victory Equipment Company Limited ("VEL"), a company listed on the Main Board of The Stock Exchange of Hong Kong Limited ("SEHK"). Several months ago, Nicholas and his twin sister Nicole got married at the same time. The rich grandmother of Nicholas and Nicole gave each of them a substantial sum of money as a wedding gift.

Subsequently, Nicholas and Nicole used the money given by their grandmother to acquire 4% and 5% of shares of VEL, respectively. Nicole also used the money to buy her husband 1% of the shares of VEL as a birthday gift.

Nicholas and Nicole have been advised of the obligation on the part of chief executives, directors, and substantial shareholders of their interest in the shares of a company listed on the Main Board of the SEHK.

* * * END OF SCENARIO * * *

Answer Area:

- (a) In relation to the laws relating to securities and futures in Hong Kong, analyse whether Nicholas and Nicole have the obligation to disclose their interest in the shares of Victory Equipment Company Limited ("VEL"), and whether Nicole's disclosure obligation of her interest in the shares of VEL, if any, should include her husband's interest in the shares of VEL.
(6 marks)
- (b) In relation to the laws relating to securities and futures in Hong Kong, explain under what circumstances must a shareholder make such a disclosure.
(4 marks)

* * * END OF EXAMINATION PAPER * * *